

HOUSE No. 4451

The Commonwealth of Massachusetts

HOUSE OF REPRESENTATIVES, September 4, 2025.

The committee on Labor and Workforce Development, to whom was referred the petition (accompanied by bill, House, No. 2153) of Steven Owens, James B. Eldridge and James K. Hawkins relative to expanding access to commuter transit benefits offered by employers, reports recommending that the accompanying bill (House, No. 4451) ought to pass.

For the committee,

PAUL MCMURTRY.

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In the One Hundred and Ninety-Fourth General Court
(2025-2026)

An Act expanding access to commuter transit benefits offered by employers.

Be it enacted by the Senate and House of Representatives in General Court assembled, and by the authority of the same, as follows:

1 SECTION 1. Chapter 149 of the General Laws, as appearing in the 2022 Official Edition,
2 is hereby amended by inserting after section 203 the following section:-

3 Section 204 (a) As used in this section, the following words, unless the context clearly
4 requires otherwise, shall have the following meanings:-

5 “Employee”, shall have the same meaning as provided in clause (h) of section 1 of
6 chapter 151A.

7 “Employer”, shall have the same meaning as provided in subsection (i) of section 1 of
8 chapter 151A; except the United States government shall not be considered an employer;
9 provided, however, that an individual employer shall be determined by the Federal Employer
10 Identification Number.

11 “Pre-tax transportation fringe benefit,” a pre-tax election transportation fringe benefit that
12 provides commuter highway vehicle and transit benefits, consistent with the provisions and

limits of section 132(f)(1)(A), (B), and (D) of the United States Internal Revenue Code of 1986 (26 U.S.C. s.132(f)(1)(A), (B), and (D)) at the maximum benefit levels allowable under federal law, to be deducted for those programs from an employee's gross income pursuant to section 132(f)(2) of the United States Internal Revenue Code of 1986 (26 U.S.C. s.132(f)(2)).

(b) Every employer in the commonwealth of Massachusetts that employs at least 500 persons shall offer to all of that employer's employees, that are not covered by a collective bargaining agreement, the opportunity to utilize a pre-tax transportation fringe benefit; provided, nothing herein shall prevent an employer and employees covered by a collective bargaining agreement from bargaining to include a pre-tax transportation fringe benefit in such agreement.

(c) Any employer found to be in violation of this section shall be liable for a fine of \$100 for a first violation. For each additional month in which an employer fails to offer a pre-tax transportation fringe benefit shall constitute a subsequent violation and a fine of \$250 shall be imposed for each subsequent violation. A fine shall not be imposed on any individual employer more than once in a month. The department of revenue may waive or reduce fines for good faith efforts to comply or demonstrate hardship.

(d) The department of revenue shall direct a public multilingual awareness campaign in conjunction with the Massachusetts Bay Transportation Authority that encourages the public to contact employers about pre-tax transportation fringe benefits and shall coordinate such campaign with regional planning agencies, transportation management associations, regional transportation authorities, chambers of commerce, private and non-profit providers of public transportation, and other transportation stakeholders. The department of revenue shall prepare

34 and disseminate model multilingual written materials to be used by employers to notify
35 employees of the pre-tax transportation fringe benefits offered.

36 (e) The commissioner of the department of revenue shall adopt regulations to ensure
37 compliance and implementation of the provisions of this section, including but not limited to, a
38 process by which employees and others can confidentially report non-compliant employers.

39 SECTION 2. Subsection (c) of Section 1 shall take effect one year after the passage of
40 this act.